NRB Unified Directives

Nepal Rastra Bank Ekikrit Nirdeshanaharoo

1. Introduction

The Nepal Rastra Bank Unified Directives are the primary operational rules compiled and updated annually by the central bank. They govern the balance sheets, capital requirements, credit activities, and risk parameters of Class A, B, and C financial institutions.

2. Capital Adequacy Framework (Directive 1)

Commercial banks must maintain minimum Capital Adequacy Ratio (CAR) to absorb losses:
- Minimum Core Capital (Tier 1): 8.5% of Risk-Weighted Assets.
- Minimum Total Capital (Tier 1 + Tier 2): 11% of Risk-Weighted Assets.

3. Credit Classification & Provisioning (Directive 2)

Every BFI must classify outstanding loans into Performing and Non-Performing Loans (NPL) and maintain a credit loss reserve:

Performing Loans:

- **Pass Loan:** Overdue by 0 to 1 month. Provision requirement: 1.1% of loan amount (general reserve).
- **Watchlist:** Overdue by 1 to 3 months, or signs of operational distress. Provision requirement: 5% of loan amount.

Non-Performing Loans (NPL):

- **Substandard:** Overdue by 3 to 6 months. Provision requirement: 25% of loan amount.
- **Doubtful:** Overdue by 6 to 12 months. Provision requirement: 50% of loan amount.
- **Loss:** Overdue by more than 12 months, or client bankrupt. Provision requirement: 100% of loan amount.

4. Institutional Governance (Directive 6)

- Conflict of Interest: A board director cannot influence credit decisions for personal business.
- Audit Committee: Must be chaired by a non-executive director to ensure independent audit reporting.
- Single Obligor Limit: A BFI cannot lend more than 25% of its core capital to a single business group.